Lecture 18 (2026-08-02)

Quick Summary

The session covers the evolution of organizational structures from "Simple" to "Functional" as companies grow in size and geographical scope. It highlights the transition from owner-led models to structured divisions to address issues like decision-management lags and lack of coordination. It also explores the strategic balance between centralization (for macro policies and brand consistency) and decentralization (for local, client-facing autonomy). Additionally, the session covers Organizational Culture (the differentiation between strong and weak cultures), the role of founders in creating and sustaining culture through selection and socialization, and the principles of Change Management as a response to environmental, competitive, and technological pressures. The session further explores Organizational Development (OD) as a specialized branch of HRM to manage cultural integration, and identifies specific reasons for employee resistance to change. The session also highlights the critical distinction between mechanical changes (replacing components) and human-centric changes (managing feelings, habits, and fears), particularly during mergers, acquisitions, and "lean sizing." The segment also explores the role of transformational leadership, the impact of sense of urgency, and the distinction between organic and inorganic growth.

Key Definitions

- **Simple Structure:** A small setup where the owner/proprietor handles all activities and provides close monitoring.
- **Functional Structure:** An organizational upgrade that divides the company into specific functional departments (e.g., HR, Marketing, Procurement, Supply Chain, Sales) to improve transparency, role clarity, and accountability.
- **Work Specialization:** The assignment of tasks based on specific expertise (e.g., "you are the HR person").
- **Departmentalization:** Grouping related jobs under "one hood" so specialists can coordinate common tasks.
- **Chain of Command:** The hierarchy of reporting for individuals and groups.
- **Span of Control:** The number of individuals a manager can effectively and efficiently direct.
- **Centralization:** Concentration of decision-making at a single point (e.g., at the "firm’s head").
- **Decentralization:** Granting autonomy to lower levels to manage local or client-facing details.
- **Organizational Culture:** The shared understandings, beliefs, and values that employees share and appreciate; it conveys a consistent message about what is important.

  Strong Culture:
  - Values widely shared.
  - Culture conveys consistent messages about what's important.
  - Most employees can tell stories about company history/heroes.
  - Employees strongly offer identity with culture.
  - Strong connection between shared values and behaviors.

  Weak Culture:
  - Values limited to a few people—usually top management.
  - Culture sends contradictory messages about what's important.
  - Employees have little knowledge of company history or heroes.
  - Employees have little identification with culture.
  - Little connection between shared values and behaviors.

- **Socialization:** The process by which new employees are introduced to the company and coached on how to adapt to the prevailing culture.

  Socialization Stages:

  1. **Pre-arrival:** Initial phase before joining.
  2. **Encounter:** Initial interaction with the workplace.
  3. **Metamorphosis:** The stage where the employee adjusts to the culture.
- **Succession Planning:** The strategic process of selecting and training new leaders (especially for key officials) to ensure the founder's vision and the company's culture are maintained across generations.
- **Change Management:** The management of organizational transitions caused by external environment pressures, competition, and technology.

  Characteristics of Change:

  - Is constant yet varies in degree and direction.
  - Produces uncertainty yet is not completely unpredictable.
  - Creates both threats and opportunities.
- **Unfreezing:** Breaking the status quo to allow for change.
- **Changing:** Transitioning to a new state.
- **Refreezing:** Making the change permanent.
- **Calm Waters Metaphor:** Change is an occasional disruption in the normal flow of events. Organizations in this environment can use planned, structured approaches to manage transition.
- **White-Water Rapids Metaphor:** Change is a continuous and unpredictable process. Organizations in this environment must manage change actively to survive because there is no "freezing" point.
- **Organizational Development (OD):** A specialized branch of HRM (distinct from basic training/development) used to manage interpersonal relationships, harmony, and cultural shifts, particularly during mergers or acquisitions.
- **Team Building:** Exercises involving internal or external members to improve relationships and shared goals.
- **Intergroup Development:** Strategies to break down stereotypes and improve cooperation between people from different cultural backgrounds or departments.
- **Process Consultation:** Hiring an outside expert to advise on behaviors and work processes rather than just "fixing" a specific individual.
- **Survey Feedback:** A technique for assessing attitudes and work-related perspectives.
- **Change Agent:** Individuals, typically higher in the hierarchy, responsible for managing change activities and convincing others of the need for change.
- **Planned Change:** Change that is structured and intentionally managed.

  Forces for Change:

  - **Nature of the workforce:** More cultural diversity, growing population, increased immigration, and outsourcing.
  - **Technology:** Faster, cheaper, and more mobile (e.g., social networks, handheld devices).
  - **Economics:** Global market shifts, recession, mergers.
  - **Society/Environment:** Sustainability, carbon footprint, changes in social trends.
- **[shot_00-46-28.png] The Change Process**: Illustrates the difference between "Calm Waters" (unfreezing, changing, refreezing) and "White-Water Rapids" (constant adaptation).
- **[shot_00-50-37.png] Organizational Development Definition**: Definition of OD as a tool for managing behavior and relationships.
- **[shot_00-56-37.png] Managing Resistance to Change**: Identification of barriers including lack of transparency, fear of loss (status, money, authority), and the human tendency toward "inertia" or comfort zones.
- **[shot_00-59-25.png] Forces for Change Table**: | Force | Examples | |---|---| | Nature of the workforce | More cultural diversity, Growing population, Increased immigration and outsourcing | | | | | Technology | Faster, cheaper, more mobile | | Economics | Global market shifts, Recession, Mergers | | Society | Sustainability, Carbon footprint, Social trends |

- **[shot_01-01-38.png] Comparison of Change and Planned Change**: Distinguishes between general change (making changes) and planned change (the systematic process of managing change).
- **[shot_01-24-17.png] Satya Nadella's Leadership:** Reflects the shift from a "sluggish" culture to a "nimble innovator" through strategic decisions.
- **[shot_01-26-38.png] Microsoft Stock Price Trend (2000-202):** Illustrates the recovery and growth post-2014.
- **[shot_01-27-24.png] Nuance Corporate Slide:** Highlights the list of key acquisitions (LinkedIn, GitHub, Minecraft, Nuance) used to increase customer retention.

  Human-Centric vs. Mechanical Change:
  - **Machine Change:** Replacing a component to improve efficiency. The machine has no feelings; it is simply swapped or reworked.
  - **Human Change:** Managing changes that people must "live" with. This involves managing "habits," "fear of the unknown," and "emotional compatibility."
- **Inorganic Growth:** Growth achieved through mergers and acquisitions (M&A) rather than solely through internal expansion or organic growth.
- **Transformational Leadership:** A leadership style characterized by a vision for the future that drives significant change and organizational evolution.
- **Sense of Urgency:** A state of urgency prompted by external pressures (e.g., economic shifts, stock performance) necessitating rapid action.
- **AI Market Competition**: [shot_01-28-43.png] "to take on Google in the AI race and their social and professional media"
- **Microsoft Strategic Positioning**: [shot_01-38-18.png] "How Satya Nadella changed Microsoft in 10 years." [Includes: "to take on Google in the AI race and their social and professional media"]
- **LinkedIn Post: "How Starbucks ALMOST Didn't Exist"**: [shot_01-45-26.png] "In 1987, Howard Schultz needed $3.8 million to buy Starbucks."

Worked Examples

FreshBite Foods Case:
- **Initial Situation:** A family-owned snack company with a **Simple Structure** where all departments reported directly to the founder.
- **Growth Problem:** As the company grew to 300 employees and opened in multiple locations, it faced "confusion about responsibilities," "decision-making lags," and "poor coordination" between departments (production, marketing, and sales).
- **Solution:** Implementation of a **Functional Structure** with departmental heads.

  Reasoning: The move from Simple to Functional is necessary for larger organizations because it provides:
  - Transparency
  - Role clarity
  - Greater responsibility
  - Higher accountability
  - Resolution of "decision-making lag" caused by too many reports to one person.

Facebook (Meta) Campus Case (MPK20 & Willow Campus):
- **Physical Design as Culture:** The "open plan" design and "work in progress" feel are intentional choices to foster a culture of innovation and collaboration.
- **Sustainability as Values:** Large-scale investments in green tech (e.g., 17 million gallons of water saved, LEED Gold status) reflect core organizational values.
- **Scale & Community:** The transition toward "Willow Campus" (a full-scale community with housing and shops) demonstrates the strategy of moving from a private office to a public-facing community model.

Lean Sizing / Role Redundancy Example:

- **Situation:** An organization identifies roles that are redundant or need redesigning to flatten the structure.
- **Action:** Management must establish clear metrics to determine which roles are redundant.
- **Reasoning:** The process must be objective. It cannot be based on "personal likes," "subjective views," or "perceptions." It must be based on the "best interest of the company" and the "future workflow."

COVID-Era Hiring & Tension Example:

- **Scenario:** During COVID, a company laid off 20% to 30% of its workforce. When operations normalized, the company hired new people to fill the gaps.
- **Conflict:** The "old" employees did not welcome the "new" hires, viewing them as replacements for friends, even though the new hires were not at fault and were often hired on better packages.
- **Reasoning:** This highlights that change management is not just about policy or technology; it is about managing human behavior and the emotional gaps created by "merging" two different groups (existing vs. new).

Microsoft (Satya Nadella) Transformation:

- **The Ballmer Era (2000-2014):** Characterized by a lack of technical expertise in leadership, a reliance on licensing monopolies, and a failure to pivot to mobile/internet trends (e.g., missing the mobile OS wave).

  The Nadella Era (2014-Present):

  - **Strategy:** Diversification into gaming, AI, cloud services, and subscription-based products.
  - **Acquisitions:** LinkedIn, GitHub, Minecraft, and Nuance.
  - **Results:** Transformation from a "sluggish behemoth" to a $2 trillion company.
  - **Calculation/Metrics:** 2022 figures showed $194 billion in revenue and approximately $68 billion in profits. Investment of over $10 billion in OpenAI.
  - **Reasoning (Updated):** This demonstrates how a shift in leadership style, moving from a "standard" of past success to a "visionary" stance on new technology, can revitalize a stalled corporate identity. The distinction between Ballmer (focused on **selling products** from a management/executive background) and Nadella (who, as an **engineer**, understood innovation at the **grassroots level**) is key. This reflects the move toward **Inorganic Growth** (acquisitions) to secure market share in the AI and cloud space.

Starbucks "All-Cash" Offer:

- **Situation:** In 1987, Howard Schultz needed $3.8 million to buy Starbucks.
- **Challenge:** He was running out of time as a competitor offered an "all cash" bid with "no due diligence."
- **Action/Outcome:** He accepted the deal and eventually gained the support of Bill Gates Sr. to secure the brand.
- **Reasoning:** This highlights a "sense of urgency" and the willingness to take risks in high-stakes negotiations. The "all cash/no due diligence" offer is a specific example of a trade-off between speed and risk.

Formulas & Rules

- **The Management Change Rule**: Every change in strategy has a direct implication on: Structure, Technology, and People.
- **The Preparation Rule (Umbrella/Spare Tire)**: Organizations must provide "provisions" (like regular audits, inspections, and reviews) for risks. Even if a risk isn't encountered daily, the organization must be prepared to respond if it occurs.

Tricky Logic & Traps

- **The "No Freeze" Rule (White-Water Rapids)**: In the "White-Water Rapids" environment, there is **no** "refreezing" phase. Because the environment is constantly changing, the organization must be in a state of continuous adaptation to survive.

  Training vs. Organizational Development (OD):

  - **Training/Development** is about teaching specific skills/tools to employees.
  - **OD** is a broader, specialized branch of HR used to manage "culture," "harmony," and "interpersonal relationships" (e.g., when merging two teams with different backgrounds).
- **The Subjectivity Trap**: When managing "Lean Sizing" or "Redesigning Roles," management must avoid "subjective" decisions. A decision to cut a role or change a task cannot be based on a manager's "feelings" or "likes"; it must be backed by **objective metrics**.
- **The "Precaution" logic**: The "Umbrella" or "Spare Tire" logic means that even if a certain check (like a safety audit) is rarely used, it must still be part of the standard operating procedure to ensure the organization is prepared for any change/risk.
- **Risk vs. Predictability**: While change causes "uncertainty," it is not "completely unpredictable." The difference is between "random chaos" and prepared strategy.
- **Scalability Trap**: A "Simple Structure" is insufficient for companies with high headcount (e.g., 300+) or multiple geographic locations; it leads to a lack of autonomy and coordination delays.

  The "Macro Policy" Rule (Centralization): Decisions that impact the entire brand or core operations (e.g., brand identity, standard expenditure norms, overarching rules, core policies) **must be centralized**.

  - **Reason:** Centralizing these ensures a "uniform strategy" and prevents the creation of "too many rules" across different locations.

  The "Ground Level" Rule (Decentralization): Decisions that are "client-facing" or require local adaptation (e.g., local marketing, local variations for festivals/packaging) **should be decentralized**.

  - **Reason:** This provides local teams with the "autonomy" to respond to specific regional sentiments and cultural nuances while staying within a set budget.

  Corporate Culture vs. Physical Space: Physical design (interior, furniture, dress code) is not just aesthetic; it is a conscious branding decision.

  - **Comparison:** A bank/hospital uses a different "standard" of interior and conduct compared to a tech giant like Google/Facebook, which uses "casual" elements (round-neck t-shirts, open spaces) to signal a "culture of innovation" and "flexibility."
- **The "Turnover" Calculation**: In the context of the Socialization Model, **turnover** is a measure of retention. The instructor noted that we should "not take [it] as negative," meaning high retention (low turnover) is the goal for indicating successful commitment and productivity.
- **Unpredictability of Change**: While change creates "uncertainty," it is "not completely unpredictable." This distinguishes between random chaos and strategic adjustments to known trends (technology, competition, legislation).
- **Selection for Culture**: Selecting a "high performer" is not enough; the candidate must have values "consistent with at least a good portion of the organization's values." A mismatch in "pace" or "risk appetite" (e.g., a conservative person in a high-risk environment) results in a failure to match the management's expectations.

  The "Machine vs. Human" Distinction:

  - **Machine:** A machine is a tool. If it breaks or is inefficient, you swap the part or the unit. It has no feelings.
  - **Human:** People are not components. They have "habits" and "feelings." Replacing a role in a machine-like way (without considering the human element) causes friction.
- **The "Scope" Clarity Rule**: When implementing change (especially in mergers or system migrations), management must provide "awareness" that the change is of a **limited focus**. Clearly defining what **is** changing (and what isn't) helps reduce employee anxiety and "fear of the unknown."
- **The Scale of Change Trap**: Different organizational sizes (e.g., 230 vs. 230,000 employees) require fundamentally different communication systems. Larger organizations require more structured, transparent communication to ensure information "trickles down" through multiple functional layers.

- **The "Innovation vs. Sales" Trap**: A leader's background impacts their focus. A leader from a marketing/sales background may focus on "selling the product," while a leader with an engineering background may be better equipped to understand "innovation at the grassroots level."
- **The "Inorganic Growth" Strategy**: Growth via acquisition (e.g., LinkedIn, GitHub) is a deliberate strategy to capture market share and vision quickly, but it requires robust management of cultural integration.
- **The "All-Cash" Risk Trap**: A high-risk, "no-due-diligence" all-cash offer is an example of how a sense of urgency and a vision for the future can lead to high-stakes, bold decision-making.

Exam Pointers

- When asked to determine which decisions should be **centralized**, look for keywords like "macro," "policy," "uniform," or "brand."
- When asked to determine what can be **decentralized**, look for "local," "client-facing," "regional," or "short-term" requirements.
- If a case study describes a growing company facing "coordination issues" or "decision lags," the transition from **Simple** to **Functional** is the standard prescribed solution.
- When asked about **Succession Planning**, look for scenarios involving the preservation of the "Founder's vision" across generations or the "continuity of brand."
- When identifying **Socialization** stages, look for the sequence: Pre-arrival $\rightarrow$ Encounter $\rightarrow$ Metamorphosis.
- When identifying **Change Management** drivers, look for "market demand," "technology," "competition," or "government legislation."
- **Note on Strategy/Structure/Tech/People**: If a question asks what changes are needed to implement a new strategy, the answer should address all four: Structure, Technology, and People (Training/Culture).
- **Note on Resistance**: If a question asks why employees are resisting, identify the specific barrier: is it a lack of transparency, a "comfort zone" issue, or a "fear of loss"?
- **Note on OD**: If a question asks about improving "team harmony" or "cultural integration" during a merger, the answer is **Organizized Development (OD)**, not just "training."
- **Identifying Management Failures (e.g., Ballmer)**: Look for indicators like "lack of technical expertise," "reliance on legacy models," or "slower response to mobile/internet trends" as reasons for stalled growth.
- **Identifying Management Success (e.g., Nadella)**: Look for "diversification," "strategic acquisitions" (e.g., cloud, AI, media), and "shifting to subscription models" as indicators of a successful transition.
- **Handling Merger/Acquisition Friction**: If a question asks how to manage the transition of "old" vs "new" employees, the focus should be on **communication, awareness of scope, and cultural integration (OD)**.
- **Identifying Strategy via Leadership**: Be prepared to differentiate between a "Sales/Marketing" focused leader (selling the existing product) and an "Engineering" focused leader (understanding innovation at the grassroots).
- **Identifying Growth Types**: Distinguish between "Organic" (internal) and "Inorganic" (acquisition/merger) growth when analyzing a company's expansion strategy.
- **Recognizing the Impact of Scale**: Be aware that communication strategies for large, multi-layered organizations (e.g., 200,000+ employees) require more rigid, transparent systems than smaller firms.

Sources

- MBAZG511 - Lecture 12.pptx
- MPO Session 9-13 2026.pdf
- MBAZG511 Lecture 13.pptx

- MBAZG511_Managing People and Organizations - Lectures 10-16 (2).pdf